

Proposed ISQM 2¹ – Engagement Quality Reviews: Issues

Objective of Agenda Item

The objective of this Agenda Item is to approve the issuance of Proposed ISQM 2 for exposure (**Agenda Item 4–A**), along with the extract of the requirement and related application material to be included in the Exposure Draft of Proposed ISQM 1² regarding engagements for which an engagement quality review would be required (“ISQM 1 extract”) (**Agenda Item 4–C**).

A. Introduction

1. Since the September 2018 IAASB meeting, the ISQM 2 Task Force (the Task Force) has focused on:
 - Addressing the comments from Board members during the September 2018 IAASB meeting and the October 16, 2018 teleconference, as well as written comments received;
 - Improving the readability and understandability of the draft of proposed ISQM 2 and the ISQM 1 extract; and
 - Coordinating³ with the Task Forces responsible for proposed ISQM 1 and proposed ISA 220 (Revised)⁴ to align the revisions where appropriate.
2. This paper is organized as follows:

Section B	Summary of Changes to the ISQM 1 Extract and Proposed ISQM 2
Section C	Drafting Approach and Coordination among the IAASB Quality Management Task Forces and with the IAASB-IESBA Joint Working Group
Section D	Other Matters
Section E	Possible Matters to Address in the Explanatory Memorandum (EM)
Section F	Due Process Matters
Appendix A	Disposition of Key Issues Raised in Board Comments
Appendix B	Outline of Matters to be Included in the Explanatory Memorandum
Appendix C	Task Force Activities, including Outreach and Coordination
Appendix D	Draft IAASB Meeting Minutes (September 2018 and October 16, 2018 teleconference)
3. The Task Force has prepared the following agenda material to support the IAASB’s discussions:

Agenda Item	Description
Agenda Item 4–A	Proposed ISQM 2 – Clean

¹ Proposed ISQM 2, *Engagement Quality Reviews*

² Proposed ISQM 1, *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements*

³ The ISQC 1 Task Force, the ISQC 2 Task Force, and the ISA 220 Task Force are referred to collectively as the QM Task Forces.

⁴ Proposed International Standard on Auditing (ISA) 220 (Revised), *Quality Management at the Engagement Level*

Agenda Item	Description
Supplement to 4–A	Side-by-Side ISQM 2 Requirements and Application Material
Agenda Item 4–B	Proposed ISQM 2 – Marked to September 2018 IAASB Meeting
Agenda Item 4–C	Extract from Proposed ISQM 1 – Clean
Agenda Item 4–D	Extract from Proposed ISQM 1 – Marked from October 16, 2018 IAASB Teleconference
Agenda Item 4–E	Comparison to Extant ISQC 1 and ISA 220

4. **Agenda Item 5** is a joint issues paper summarizing crossover issues related to the QM Task Forces. **Agenda Item 5-A** includes the conforming and consequential amendments for all the quality management projects.

Plan for Discussion of the Materials

5. The Task Force Chair will discuss the agenda items in the following order:
- ISQM 1 Extract – **Agenda Item 4-D** will be used as the basis for the discussion. See also Matter for IAASB Consideration #1 in Section B of this agenda item.
 - Proposed ISQM 2 – **Agenda Item 4-A** will be used as the basis for the discussion. The Task Force believes that the clean version will be easier for Board members to navigate due to the extent of marked changes resulting from the incorporation into the draft standard of material previously included in proposed ISQM 1. Board members also may wish to refer to the side-by-side presentation of the requirements and application material in the **Supplement to Agenda Item 4-A**. See also Matter for IAASB Consideration #2 in Section B of this agenda item.
 - Possible matters to discuss in the EM for Proposed ISQM 2 and Matter for IAASB Consideration #3 (see Section E of this agenda item)
 - Due process matters and Matter for IAASB Consideration #4 (see Section F of this agenda item)

B. Summary of Changes to the ISQM 1 Extract and Proposed ISQM 2

Changes to the ISQM 1 Extract

6. At the October 16, 2018 IAASB teleconference, the Board discussed the proposed revisions to paragraph 43(e) of proposed ISQM 1 and related application material relating to engagements subject to an engagement quality review.
7. The Task Force considered the comments from the Board teleconference and written comments received, and has made revisions to the ISQM 1 extract as shown in **Agenda Item 4-D**. The Task Force believes that the revisions are responsive to the comments received.
8. The principal changes to the ISQM 1 extract are as follows:
- Paragraph 43(e) has been changed to paragraph 40(e) to reflect the renumbering in proposed ISQM 1.
 - Clarified that the categories of engagements for which an engagement quality review is required are not mutually exclusive (paragraph A102).
 - Changed the order of the sentences in paragraph A103 to make the construct consistent with references to entities of significant public interest in other IAASB standards.

- Added examples in the application material (paragraph A105) of engagements for which the firm may determine that an engagement quality review is an appropriate response to a quality risk (e.g., entities in emerging industries or for which the firm has no previous experience) and modified other examples in response to comments received. Although additional examples were suggested or requested by some Board members, the Task Force concluded that adding more examples would increase the length and complexity of the paragraph and make the standard appear to be more rules-based.
- Deleted former paragraph A102 as other types of engagement reviews are dealt with more broadly in paragraph A96 of proposed ISQM 1.
- Clarified the public sector considerations (paragraphs A107-A109) based on comments received and input from public sector representatives.

The ISQM 1 extract will be incorporated into the draft of proposed ISQM 1 in connection with the turnaround of that standard during the December IAASB meeting so that the IAASB can vote on the Exposure Draft of proposed ISQM 1 in its entirety.

Matter for IAASB Consideration

1. IAASB members are asked to share their views on the ISQM 1 extract in **Agenda Item 4–D**. Board members will be asked to provide comments of a substantive nature on the requirement and related application material in their entirety.

Changes to Proposed ISQM 2

Overall Structure

9. As noted in paragraph 5 above, and consistent with the direction from the IAASB at its September 2018 meeting, the Task Force made extensive changes to the draft of proposed ISQM 2 to incorporate requirements and application material previously included in the extract of ISQC 1 (see Agenda Item 6-B for the September 2018 IAASB meeting). In doing so, the Task Force also had the opportunity to streamline the material to improve the flow and clarity of the standard, and to eliminate certain redundancies.
10. The Task Force believes that the resulting principles-based standard appropriately reflects the responsibilities of the firm and the engagement quality reviewer, respectively, regarding the appointment and eligibility of the engagement quality reviewer and the performance and documentation of the engagement quality review. The Task Force also believes that the application material in the standard is appropriate and is sufficient to support the application of the requirements.

Objective

11. The Task Force agreed with comments from certain Board members during the September 2018 IAASB meeting that the objective(s) of the standard should be framed as objective(s) of the firm because an engagement quality review is a firm-level response to quality risks, although carried out at the engagement level.
12. The Task Force recognizes that the objectives in the IAASB's standards are intended to be outcome-oriented, i.e., the desired outcome of applying the requirements in the standard, and not an 'executive summary' of those requirements. With that in mind, the Task Force discussed a number of alternatives for the wording of the objective and concluded that the wording as shown in paragraph 10 of **Agenda Item 4-A** is the clearest articulation of the intended outcome of an engagement quality review, i.e., to obtain from the engagement quality reviewer an objective

evaluation of the significant judgments made by the engagement team and the conclusions reached thereon. Although there is some circularity in this wording given the definition of engagement quality review, the Task Force nonetheless believes that the wording of the objective is appropriate.

13. The objectives in the draft of proposed ISQM 2 discussed at the September 2018 IAASB meeting included a reference to the firm's appointment of an individual who meets the eligibility criteria for an engagement quality reviewer. As noted above, however, the Task Force concluded that the intended outcome of the standard is an objective evaluation of significant judgments, and that the appointment of suitably qualified individuals to perform the engagement quality reviews is a necessary means to that end. Therefore, the objective does not include a reference to the appointment of the engagement quality reviewer.

Other Changes

14. Appendix A to this paper summarizes how the Task Force responded to other key matters raised at the September 2018 meeting and to written comments received, including those that arose as part of relocating the requirements and application material relating to the appointment and eligibility of engagement quality reviewers from proposed ISQM 1.

Matter for IAASB Consideration

2. IAASB members are asked to share their views on proposed ISQM 2 as presented in **Agenda Item 4–A**. Board members will be asked to provide comments of a substantive nature as the Task Force Chair walks through the standard section by section, taking the requirements and related application material together.

C. Drafting Approach and Coordination among the IAASB Quality Management Task Forces and with the IAASB-IESBA Joint Working Group

15. Certain changes in **Agenda Item 4-A** arose from coordination with the other QM Task Forces, and include the following:
 - The definition of relevant ethical requirements.
 - The responsibilities of the engagement partner and the engagement quality reviewer in relation to significant matters and significant judgments.
 - A reference to “including sufficient time” as part of the eligibility criteria for an engagement quality reviewer.
 - Descriptions of quality risks, their assessment and the relationship to quality objectives or responses, as applicable.
 - References to networks and service providers.
16. A teleconference was held on October 4, 2018 with the Joint Working Group (JWG) to confirm the recommendations presented to the IAASB (see Agenda Item 6 Supplement included in the September 2018 IAASB meeting materials) and IESBA at their respective September 2018 meetings on the “cooling-off” provision (i.e., the period of time when an individual who had previously been involved in the audit, including in the role of the engagement partner, would not be eligible to fill the role of the engagement quality reviewer), and to discuss the forward plans for the JWG.

17. In the discussions with the JWG and other IESBA representatives and staff, it was proposed that consideration be given to including questions in the ISQM 2 EM about how relevant ethical requirements, including threats to the objectivity of the engagement quality reviewer, are addressed in proposed ISQM 2. The specific questions that may be included and how they should be formulated will be informed by discussions during the session on IAASB-IESBA coordination at the December 2018 IESBA meeting. IAASB representatives (including the ISQM 2 Task Force Chair and the IAASB liaison to IESBA) will attend this session to provide context and explanations relating to matters that the IESBA representatives will bring to the IESBA's attention. In this regard, a separate paper setting out those matters is being developed by the IESBA staff for discussion with the IESBA at its December 2018 meeting.

D. Other Matters

Exposure Period and Effective Date

18. See **Agenda Item 5**, provided as part of the joint QM task force papers, which addresses the exposure period and effective date for all three quality management projects.

Conforming and Consequential Amendments

19. The majority of conforming amendments necessary as a result of proposed ISQM 2 are relatively minor and comprise primarily updated references and some wording alignment. They have been identified and drafted by the Quality Control Task Force and reviewed by the ISQM 2 Task Force (see **Agenda Item 5–A** provided as part of the joint QM task force papers.)

E. Possible Matters to Address in the Explanatory Memorandum (EM)

20. The Task Force has identified the following significant matters for inclusion in the EM, a brief outline of which is set out in Appendix B:
- Allocation of requirements between proposed ISQM 1 and proposed ISQM 2
 - Engagements for which an engagement quality review is required, including entities that are of significant public interest
 - Objective of ISQM 2
 - Eligibility criteria for the engagement quality reviewer, including:
 - Cooling-off period (nature and extent of content to be determined in coordination with the IESBA, including a proposed question(s) on this topic)
 - Authority of the engagement quality reviewer
 - Performance and documentation of the engagement quality review
 - Significant matters and significant judgments
 - Overall evaluation of the engagement quality reviewer

Matter for IAASB Consideration

3. Are there are other matters that should be addressed in the EM for proposed ISQM 2?

F. Due Process Matters

21. In the Task Force's view, the significant matters identified as a result of its deliberations from the beginning of this project have been presented in the issues papers presented to the Board for

discussion during that time. In the view of the Task Force, there are no significant matters that have not been brought to the attention of the IAASB.

22. The Task Force does not believe that a consultation paper or field testing is needed at this stage of the project, as widespread consultation with a wide range of stakeholders has been undertaken, including through the Invitation to Comment, *Enhancing Audit Quality in the Public Interest: A Focus on Professional Skepticism, Quality Control and Group Audits*.⁵

Matter for IAASB Consideration

4. The IAASB is asked to approve proposed ISQM 2 for exposure.

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www.ifac.org/publications-resources/invitation-comment-enhancing-audit-quality-public-interest

Appendix A

Disposition of Key Issues Raised in Board Comments

This Appendix explains how the Task Force has further considered and addressed the **key issues** raised during the September 2018 IAASB meeting and in written comments received from Board members. It includes the relevant references to the material in proposed ISQM 2 as presented in **Agenda Item 4–A**.

Paragraph Number in Agenda Item 6-A (September 2018)	Nature of Suggested Revision	Task Force Response – Paragraph Number in Agenda Item 4-A (December 2018)
Agenda Item 6-B (Paragraphs 43(e)(ii) – (vi) in proposed ISQC 1)	<u>Realignment of material between ISQM 1 and ISQM 2</u> Relocate certain requirements for establishing firm policies or procedures related to engagement quality reviews to ISQM 2	Requirements for the firm to establish policies or procedures in: - Paragraph 43(e)(ii) that address appointment of the engagement quality reviewer moved to paragraph 15 of proposed ISQM 2. - Paragraph 43(e)(iii) that address performing and documenting engagement quality reviews moved to paragraph 19(a) of proposed ISQM 2. - Paragraph 43(e)(iv) that address the engagement partner's responsibilities in relation to the engagement quality review moved to paragraph 19(b) of proposed ISQM 2. - Paragraph 43(e)(v) that address circumstances when the nature and extent of engagement team discussions with the engagement quality reviewer give rise to a threat to the engagement quality reviewer's objectivity moved to paragraph 19(c) of proposed ISQM 2. - Paragraph 43(e)(vi) that address communication of responsibilities for engagement quality reviews is addressed in paragraph 43(b) of proposed ISQM 1.
N/A	<u>Public interest</u> Identify how engagement quality reviews serve the public interest	Paragraph added to the introduction (paragraph 5), consistent with proposed ISQM 1 and proposed ISA 220 (Revised), to describe the relationship between engagement quality and the public interest, and the role of engagement quality reviews.

Paragraph Number in Agenda Item 6-A (September 2018)	Nature of Suggested Revision	Task Force Response – Paragraph Number in Agenda Item 4-A (December 2018)
Paragraphs 9–13	<u>Authority of proposed ISQM 2</u> Consider streamlining the Authority section and moving certain paragraphs to application material or to the Preface to the Handbook	- The Authority section was streamlined to include a single paragraph, similar to the approach in proposed ISQM 1. - A sentence was added to paragraph 8 indicating that proposed ISQM 1 further explains the terms objective, requirements, application material and other explanatory material, introductory material, and definitions (see paragraph 15 and related application material in Agenda Item 2-A).
Paragraph 15	<u>Objective of proposed ISQM 2</u> See discussion in paragraphs 11-13 of this agenda item	
Agenda Item 6-B (Paragraph 43(e)(ii)(a) in proposed ISQM 1)	<u>Appointment of the Engagement Quality Reviewer</u> Consider the difficulty that smaller firms may have in identifying an individual responsible for the appointment of the engagement quality reviewer who is not a member of the engagement team for the engagement subject to the review	Removed the reference to objectivity in the requirement in paragraph 15(a). Application material (paragraph A3) explains that, in exceptional circumstances, it may not be practicable for an individual other than a member of the engagement team to appoint the engagement quality reviewer, for example, in the case of a smaller firm or a sole practitioner.
Paragraphs 20–22	<u>Eligibility of the Engagement Quality Reviewer</u> - Based on input received at the September 2018 CAG meeting, clearly describe what authority is, rather than what it is not - Clarify the actions to be taken when the engagement quality reviewer's eligibility is impaired - Consider the placement of the requirements in paragraph 20(c) relating to the engagement quality reviewer's objectivity including, when applicable, limitations on the eligibility to be appointed as an engagement quality reviewer	- Clarified the application material related to the authority of the engagement quality reviewer (paragraphs A11-A12). - Modified the structure and wording of paragraph 18 (paragraph 21 in the September 2018 draft), and clarified the related application material (paragraph A21). - Moved the eligibility criterion relating to threats to objectivity to paragraph 16(c)(i) as this is part of relevant ethical requirements. - Created a separate sub-requirement in paragraph 16(c)(ii) to align with the requirement in paragraph 15(c) regarding limitations on the eligibility of an individual to be appointed as

Paragraph Number in Agenda Item 6-A (September 2018)	Nature of Suggested Revision	Task Force Response – Paragraph Number in Agenda Item 4-A (December 2018)
		engagement quality reviewer for an engagement on which the individual previously served as engagement partner.
Paragraphs 23–25	<u>Performance</u> • Clarify the engagement quality reviewer’s responsibilities in relation to evaluating the engagement team’s significant judgments • Clarify the relationship between significant judgements and significant matters • Consider the placement of the requirement in paragraph 24(d)(ii) to evaluate whether consultation has taken place on difficult or contentious matters or on matters involving differences of opinion • Clarify the reference to subject matter information in paragraph 24(f) • Consider adding a requirement for the results of the engagement quality review to be reported back to the firm	• For financial statement audits, linked to the requirement in paragraph 29 of Proposed ISA 220 (Revised) that requires the engagement partner to review audit documentation relating to significant matters (as described in paragraph A8 of ISA 230). Also linked to the examples of significant judgments in paragraph A80 of Proposed ISA 220 (Revised). See paragraphs A29-A30 of Agenda Item 4-A. The Task Force coordinated closely with the ISA 220 Task Force in this area and concluded jointly that the best approach was to keep the detailed guidance on significant matters and significant judgments for audits of financial statements in proposed ISA 220 (Revised) to avoid confusion. • Application material (paragraph A31) was added that, for engagements other than audits of financial statements, the engagement quality reviewer may consider the nature and circumstances of the engagement in identifying significant matters, and significant judgments made by the engagement team. The examples in proposed ISA 220 (Revised) also may be useful in identifying significant judgments in such engagements. • Created a new sub-requirement (paragraph 20(e), previously part of paragraph 24(d)) regarding consultation on difficult or contentious matters or matters involving differences of opinion and the conclusions arising from those consultations.

Paragraph Number in Agenda Item 6-A (September 2018)	Nature of Suggested Revision	Task Force Response – Paragraph Number in Agenda Item 4-A (December 2018)
		• Removed the reference to “final” drafts in paragraph 20(g) to be consistent with the wording in proposed ISA 220 (Revised) and created sub-requirements for audits of financial statements and other engagements. • Added a requirement (paragraph 21(b)) for the engagement quality reviewer to notify the engagement partner and appropriate individual(s) in the firm that the engagement quality review cannot be completed until any concerns about the appropriateness of significant judgments or conclusions reached thereon are addressed to the engagement quality reviewer’s satisfaction.
	<u>Documentation</u> • Strengthen documentation requirements for engagement quality reviews • Clarify that the engagement quality reviewer prepares the documentation of an engagement quality review • Identify the engagement quality reviewer and individual(s) who assisted the engagement quality reviewer (outreach comments) • Clarify where the engagement quality review documentation is filed	• Added more specific documentation requirements (paragraph 24). • Added a requirement for the firm’s policies and procedures to require the engagement quality review documentation to be included with the engagement documentation (paragraph 23).

Appendix B

Outline of Matters to be Included in the Explanatory Memorandum

1. Background

1. Key public interest issues relevant to ISQM 2:
 - Extending the requirement for an engagement quality review to more engagements
 - Enhancing the eligibility criteria for an individual to be appointed as an engagement quality reviewer
 - Enhancing the requirements and application material regarding the engagement quality reviewer's responsibilities, including the nature, timing and extent of the engagement quality review procedures performed
 - Consideration of the effect of engagement quality reviews, and other forms of engagement reviews, on the appropriate exercise of professional skepticism by engagement teams
2. How the proposals are expected to change firm behavior and improve quality, and their expected benefits.
3. New terminology "engagement quality review/reviewer" consistent with the proposed quality management standards

2. How ISQM 2 Addresses Scalability

1. Engagement quality reviews are not required for all engagements (firm determination of whether it is an appropriate response to a quality risk, if not otherwise required for the engagement)
2. Guidance on the appointment of engagement quality reviewers in smaller firms
3. Proposed Appendix to EM to show how scalability is addressed in the standard

3. Significant Matters Addressed in the Standard

1. Allocation of requirements between proposed ISQM 1 and proposed ISQM 2
 - Specific to firm's policies or procedures related to engagement quality reviews – "wrap memo" will address broader linkages among the three proposed QM standards
 - Proposed ISQM 1 requires the firm to establish policies or procedures addressing engagement quality reviews, and requiring engagement quality reviews for certain engagements
 - Proposed ISQM 2 addresses firm policies or procedures related to the appointment and eligibility of engagement quality reviewers, and the performance and documentation of engagement quality reviews
2. Strengthened requirements and application material for engagements requiring engagement quality review by expanding the types of engagements for which an engagement quality review would be required beyond audits of listed entities (e.g., entities that are of significant public interest)
 - Identify the four categories
 - New category – entities of significant public interest (term used elsewhere in ISAs and in proposed ISQM 1)

- Firm determines entities of significant public interest
- Overlap between the categories
- How public sector engagements are addressed
- 3. Objective of the standard
 - Focused on the outcome of an engagement quality review
- 4. Strengthened requirements and application material regarding the eligibility to be appointed as an engagement quality reviewer
 - Requirement for firm policies or procedures
 - Identify eligibility criteria – competence, capabilities, including sufficient time, and appropriate authority
 - Competence – IAESB definition is the starting point
 - Capabilities – includes reference to “sufficient time” to address concern in ITC about the time allocated to the engagement quality reviewer for the performance of the review
 - Relevant ethical requirements
 - Cooling-off (nature and extent of content to be determined in coordination with the IESBA)
 - Authority of the engagement quality reviewer
 - Use of assistants, including external parties
 - Public sector considerations
- 5. Performance of the engagement quality review by the engagement quality reviewer
 - Requirement for firm policies or procedures
 - Importance of performing the engagement quality review procedures at appropriate points in time during the engagement, and guidance on the nature and extent of such procedures
 - Discussions between the engagement partner and the engagement quality reviewer, including possible effect on engagement quality reviewer’s objectivity and dealing with differences of opinion
 - Significant judgment and significant matters
 - These concepts apply mainly to audits of financial statements; therefore, the standard refers to proposed ISA 220 (Revised) for significant judgments and to ISA 230 for significant matters for audit engagements
 - Consider the nature and circumstances of the engagement in identifying significant matters, and significant judgments made by the engagement team, for engagements other than audits of financial statements

4. Other Matters

1. Outline plans for outreach during the exposure period

5. Questions to be Included in the Explanatory Memorandum

1. Do respondents support the change from “engagement quality control review/reviewer” to “engagement quality review/reviewer?” Will there be any adverse consequences of changing the terminology in respondents’ jurisdictions?
2. Are the linkages between the requirements for engagement quality reviews in proposed ISQM 1 and proposed ISQM 2 clear?
3. Do respondents agree with the requirements and application material for determining engagements subject to an engagement quality review in paragraph 40(e) of proposed ISQM 1?
4. Do respondents support the requirements for eligibility to be appointed as an engagement quality reviewer or an assistant to the engagement quality reviewer as described in paragraphs 16 and 17, respectively, of proposed ISQM 2?
 - (a) [Placeholder for question(s) to be determined following coordination with IESBA – see paragraph 17 in Section C above]
 - (b) Are there any other eligibility criteria that should be required?
5. Do respondents agree with the requirements relating to the nature, timing and extent of the engagement quality reviewer’s procedures? Is it clear that the responsibilities of the engagement quality reviewer should not exceed those of the engagement partner?
6. Do respondents agree with the enhanced documentation requirements?
7. Are the requirements for engagement quality reviews in proposed ISQM 1 and proposed ISQM 2 scalable for firms of varying size and complexity? If not, what else can be done to improve scalability?

Appendix C

Task Force Activities, Including Outreach and Coordination

1. The following sets out the activities of the Task Force, including outreach with others and coordination with other IAASB Task Forces and Working Groups relating to the ISQM 2 project since September 2018.

Task Force Activities since the last IAASB Discussions

2. Since the September 2018 IAASB meeting, the Task Force has held five teleconferences.
3. The Task Force also presented a revised version of the extract from proposed ISQM 1 regarding engagements subject to an engagement quality review at the October 16, 2018 IAASB teleconference.

Outreach

4. Prior to the September 2018 IAASB meeting, the quality control projects participated in a webinar with the International Federation of Accountants Small and Medium Sized Practices Committee (September 2018);
5. Since the September 2018 IAASB meeting, the Chair of the Task Force, individually or in conjunction with the other Quality Control projects, conducted outreach with the following groups:
 - 2.5 hour deep dive session with the Forum of Firms (October 2018);
 - Teleconference with The International Forum of Independent Audit Regulators Standards Coordination Working Group (November 2018); and
 - Teleconference with the International Organization of Securities Commissions (December 2018).

Coordination with Other IAASB Task Forces and the IESBA

6. Since the September 2018 IAASB meeting, in addition to ad-hoc liaison and discussions at a staff level, the Chairs of the three task forces, the IESBA Liaison Member and various IAASB and IESBA Staff held a teleconference to discuss specific matters on the standards.

Appendix D

Draft IAASB Meeting Minutes

September 2018 Draft Meeting Minutes – Engagement Quality Reviews (ISQM 2)⁶

6. ISQC 2

Mr. Vanker introduced the topic by noting that the Task Force had been reconstituted in June 2018 and its efforts to be innovative in the development of the standard. Mr. Vanker also provided an overview of the project's history, including recent outreach activities.

LINKAGES BETWEEN PROPOSED ISQC 1 (REVISED) AND PROPOSED ISQC 2

In discussing **Agenda Item 6-A**, Board members noted concerns with the linkages between proposed ISQC 2 and proposed ISQC 1 (Revised), including the clarity of the requirements in proposed ISQC 2. Board members also expressed concern about the extent of material related to engagement quality reviews (EQR) included in proposed ISQC 1 (Revised). The Board discussed a separate paper later in the week and expressed a clear preference for restructuring the requirements to include a requirement in ISQC 1 for the firm to establish policies or procedures addressing engagements for which an EQR would be required in accordance with ISQC 2, and for requirements regarding the eligibility of the engagement quality reviewer and related performance requirements to be the focus in ISQC 2.

ENGAGEMENTS SUBJECT TO AN ENGAGEMENT QUALITY REVIEW

The Board discussed the scope of engagements that should be subject to an EQR in **Agenda Item 6-B**. Mr. Vanker highlighted that the Task Force was asked to consider extending the requirement for EQRs to more engagements than under the extant requirements. The Board discussed the requirement that an EQR be performed for audits of financial statements of entities that are of "significant public interest." The Board noted that the firm, through its system of quality management, should determine whether an entity is of significant public interest, and discussed the criteria in the application material for making this determination.

DEFINITIONS

The Board supported the change in terminology from "engagement quality control review/reviewer" to "engagement quality review/reviewer" to better align with proposed ISQC 1 (Revised).

Board members suggested that the definition of relevant ethical requirements in proposed ISQM 2 be reconsidered because the definition in proposed ISQC 1 (Revised) would cover the engagement quality reviewer as one of the firm's personnel. A Board member also suggested that a single definition of engagement quality reviewer should be developed and included in the Glossary to avoid repeating it in each standard and that clarifications could be provided in application material.

ELIGIBILITY CRITERIA

With respect to the eligibility criteria for engagement quality reviewers, Mr. Vanker highlighted the supplemental paper of the Joint Working Group of the IAASB and IESBA addressing threats to the engagement quality reviewer's objectivity, and specifically the JWG's proposed approach for addressing the "cooling-off" period. Mr. Vanker noted that the proposals in the JWG paper had been reflected in **Agenda Item 6-A** and **Agenda Item 6-B**. The Board was supportive of the JWG proposals, and members asked the Task Force to further consider the following regarding the eligibility criteria:

⁶ These draft minutes are still subject to IAASB review and may therefore change.

- The potential difficulty in practice for SMPs to identify an individual responsible for the appointment of the engagement quality reviewer who is not a member of the engagement team subject to the EQR.
- Whether the example of a two-year cooling-off period for audits of listed entities in the application material was too definitive and could become a *de facto* requirement in some jurisdictions.

PERFORMANCE OF THE ENGAGEMENT QUALITY REVIEW

The Board discussed the requirements related to the nature, timing and extent of the engagement quality reviewer's procedures.

With respect to significant judgments and significant matters, Board members noted that the focus should be on significant judgments and that consideration should be given to the content regarding significant judgments in proposed ISA 220 (Revised) and separating the guidance on significant judgments in proposed ISQC 2 between audits and other types of engagements.

With respect to timing of the EQR, Board members noted that the engagement quality reviewer's involvement throughout the engagement was important to give the reviewer sufficient time to complete the required procedures before the engagement report is dated. It was also noted that the requirement for completion of the review needed to be explicit and that there should be firm policies or procedures for resolving differences of opinion between the engagement quality reviewer and the engagement team, and for the engagement quality reviewer to report situations when matters the reviewer raises are not resolved by the engagement team in a reasonable period of time.

DOCUMENTATION

Board members were generally supportive of not including specific firm-level documentation requirements related to EQRs. They also noted that the proposed documentation requirements for EQRs in proposed ISQC 2 were less robust than extant requirements and needed to be strengthened. Board members also suggested specific changes to clarify certain matters related to documentation (e.g., where EQR documentation should be retained).

IAASB CAG CHAIR'S REMARKS

Mr. Dalkin noted the CAG's support for the ISQC 2 project. He highlighted the following issues for further consideration in light of comments made at the CAG meeting:

- He noted that although the CAG was generally supportive of requiring EQRs for "entities that are of significant public interest," all public sector entities might be viewed to be of significant public interest. He supported the revised wording related to public sector entities presented in the supplemental material subsequently discussed by the Board.
- The potential threat to the engagement quality reviewer's objectivity if the timing of the EQR is too aligned with the engagement such that the engagement quality reviewer becomes, in essence, part of the engagement team.
- The timing of the completion of the EQR in relation to report issuance.

PIOB OBSERVER REMARKS

Mr. van Hulle noted, in reference to the timing of the EQR, that it was important for the engagement quality reviewer to be involved at the appropriate times during the engagement to allow for continuous improvements during the audit.

Mr. van Hulle was supportive of extending the engagements subject to EQR to include entities beyond listed entities, but was not supportive of the proposal that would allow firms to determine which entities

were of significant public interest. He noted that the public interest would be better served by providing clear direction that would lead to more engagements being subject to EQRs.

WAY FORWARD

The ISQC 2 Task Force will present specific issues at a Board teleconference in October 2018 and an Exposure Draft of proposed ISQC 2 for IAASB approval at the December 2018 IAASB meeting. In addition, the Task Force plans outreach activities with certain stakeholders.

October 16, 2018 Teleconference Draft Meeting Minutes – Engagement Quality Reviews (ISQM 2)⁷

Engagement Quality Reviews (ISQM 2)⁸

The Board discussed the ISQM 2 Task Force's (the Task Force) proposed revisions to the requirement and related application material to be included in the extract of proposed ISQM 1⁹ regarding the engagements subject to engagement quality review in accordance with proposed ISQM 2. (**Agenda Item 1**).

OVERALL COMMENTS

The IAASB generally supported the Task Force's proposed revisions. The IAASB further asked the Task Force to:

- Clarify the lead-in wording in paragraph 43(e).
- Consider deleting paragraph A99 as the contents are already addressed in the extract of proposed ISQM 1 and proposed ISA 220.¹⁰
- Consider whether paragraph A102 may be better placed elsewhere in the extract of proposed ISQM 1 (e.g., where other forms of engagement reviews are discussed).
- Clarify that there is overlap between the categories of engagements identified in paragraph 43(e).

It was also suggested that the lead-in to paragraph 43(e) should refer to other types of reviews in addition to engagement quality reviews. However, the Task Force Chair noted that paragraph 43(e) addresses engagement quality reviews only, and that other types of engagement reviews are addressed elsewhere in the extract of proposed ISQM 1.

Board Members also made several suggestions to clarify the examples in paragraph A101 of audit or other engagements for which the firm may determine that an engagement quality review is an appropriate response to a quality risk, and undertook to provide offline editorial comments.

The IAASB Chair and IAASB staff cautioned that discipline and balance would be needed in addressing the comments regarding additional examples so the standard does not become overly complex and rules-based.

⁷ These draft minutes are still subject to IAASB review and may therefore change.

⁸ Proposed International Standard on Quality Management 2, *Engagement Quality Reviews*

⁹ Proposed International Standard on Quality Management 1, *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements*

¹⁰ Proposed ISA 220 (Revised), *Quality Management for an Audit of Financial Statements*

ENTITIES THAT ARE OF SIGNIFICANT PUBLIC INTEREST

Board Members asked the Task Force to align the structure of paragraph A100 to be consistent with references to ‘significant public interest’ in ISA 260 (Revised)¹¹ and ISA 700 (Revised),¹² and suggested other factors that could be included for consideration by the firm in determining whether an entity is of significant public interest.

PUBLIC SECTOR CONSIDERATIONS

Mr. Vanker noted that there was outreach with certain INTOSAI members in relation to the public sector considerations and that they were supportive of the direction. Board Members also expressed support for the application material in paragraphs A103 and A103A.

IAASB CAG CHAIR’S REMARKS

Mr. Dalkin noted that in his view the project is moving in the right direction, and noted improvements in the wording to address public sector considerations. He suggested that the material should be reviewed for clarity of drafting.

PIOB OBSERVER REMARKS

Ms. Stothers supported the direction of the proposals.

WAY FORWARD

The ISQM 2 Task Force will present proposed ISQM 2 and the extract of proposed ISQM 1 for the Board’s approval for exposure in December 2018.

¹¹ ISA 260 (Revised), *Communication with Those Charged with Governance*

¹² ISA 700 (Revised), *Forming an Opinion and Reporting on Financial Statements*